frontier is measured by who has been co-opted, and whether they can deliver on the state's agenda. Therefore, this section's three parts focus on the selection of candidates for co-optation. The first part examines the construction of the political order in the Pa-O SAZ through the state-sponsored political economy that ties the PNO to the regime, while at the same time highlighting the divide-and-rule tactics that keep the PNLO in check. The second part examines how local CSOs are resisting the political order in the southern Shan State. Finally, a template integrates the political order in the entire southern Shan State for subsequent evaluation of the effectiveness of the regime's frontier pacification project.

Overview of the political order in Pa-O areas

The PNO was among the first batch of ethnic armed groups to sign a ceasefire agreement with SLORC in 1991. Consistent with the finding by Wong (2013) in the Philippines, the regime recruited local strongman Nay Win Tun, an ex-PNA general, as the anchor for the frontier pacification project. By giving away substantial business concessions, the regime transformed Nay Win Tun from a state enemy into a successful entrepreneur (Callahan 2007, pp. 46–47; South 2008, pp. 124–25). His company, Ruby Dragon, was granted exclusive precious stones mining concessions in Hpakant, Kachin State. The company is the country's largest producer of gems and jade.[13] He also owns Kyauk Sein Nagar (Gems) Limited, a jewellery retail operation in Yangon, which means he is vertically integrated in the upstream mining and downstream retailing operations. Helped by a good relationship forged with the government, Nay Win Tun's business empire also stretches to construction, property development, and tourism. Under the Golden Island Hotel Group, the PNO operates the Nangang Hotel (opened in 1996) and the Golden Island Cottages, Thale U (opened in 1999), in the prime tourist hotspot of Lake Inle.[14] In 2004, he started the Ruby Winery Factory in Nyaung Shwe in southern Shan State. In 2005, amid controversies of land grabbing and pollution, Nay Win Tun invested in the Dragon Cement Factory, on a 728-acre site in Tigyit. In 2007, he opened the Ruby Jade Hotel Resort and Spa in Yangon. In return for favourable business concessions, Nay Win Tun uses part of the group's profit to fund the PNO, which in turn helps to promote the state political agenda.[15]

In contrast, the PNLO was offered very little when it signed a ceasefire agreement with SLORC in 1994. Unlike the PNO, the PNLO was not offered